Thornbury Accounting Advisory
Transaction services and accounting

Ledgerline Software Pty Ltd
Financial Statements Summary

Review of audited FY23 to FY25 accounts and LTM December 2025 management accounts, with p

Prepared for Quillwood Credit Partners
Prepared by Thornbury Accounting Advisory
20 February 2026
Version 1.0, final for lender distribution
Reference: TAA/QCP/LLS/2026-014
Date: 20 February 2026

Synthetic - for demonstration. All names, entities and figures are fictional.
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Transaction and report details

Borrower	Ledgerline Software Pty Ltd
ABN	80 129 997 467
Registered office	Level 12, 88 Clarence Street, Sydney NSW 2000
Sponsor	Halcyon Growth Partners Pty Ltd (as manager of Halcyon Growth Fund II)
Directors	Priya Jessop (CEO); Daniel Jardine (CTO); Marguerite Ostrander (Chair, Halcyon nominee)
Statutory auditor	Brennan Hartley & Co Chartered Accountants
Proposed facility	A$35.0M senior secured recurring-revenue term loan with delayed-draw tranche, 48 months
Financial year end	30 June
Report date	20 February 2026
Prepared by	Thornbury Accounting Advisory
Prepared for	Quillwood Credit Partners

Table 1: Report and borrower details

1. Purpose, scope and basis of preparation

Quillwood Credit Partners has asked Thornbury Accounting Advisory to summarise the historical financial statements of Ledgerline Software Pty Ltd (Ledgerline) and to review the financial position that underpins the proposed senior secured recurring-revenue term loan. This report supports the credit assessment. It does not provide an opinion on the financial statements and is not an audit.

We have summarised the audited annual financial statements for the years ended 30 June 2023 (FY23), 30 June 2024 (FY24) and 30 June 2025 (FY25), together with management accounts for the twelve months to 31 December 2025 (LTM Dec-25) and the balance sheet at that date. The FY25 accounts were signed in September 2025 with an unqualified audit opinion from Brennan Hartley & Co. We sighted signed accounts with unqualified opinions for each of the three audited years. The LTM period is derived as FY25 less the half year to 31 December 2024 plus the half year to 31 December 2025. The 31 December 2025 balance sheet and the half-year results are unaudited and have not been reviewed by an auditor.

We have also read the Ledgerline information memorandum dated 9 February 2026 and the financial due diligence report prepared for the borrower by Kestrel Assurance Partners. We have relied on the Kestrel report only where we say so and have performed our own analytical procedures on the underlying management accounts. Amounts are in Australian dollars (A$M) unless stated. Figures are rounded to one decimal place and may not sum exactly. Negative amounts are shown in brackets.

Annual recurring revenue (ARR) and related customer metrics are management measures. They are not audited and sit outside the statutory accounts. Quillwood dated 31 March 2026 are management projections at the date of this report, prepared from the 31 December 2025 actuals, and 31 March 2026 is the proposed reference date for financial close.

2. Executive summary

Ledgerline is a growing, gross-margin-rich software business that has moved from reported losses to modest profitability over three years. Its statutory earnings remain thin because of amortisation and a high rate of development capitalisation, and its liquidity is currently tight. The proposed facility would raise total debt from A$9.0M to A$30.0M at close. Our principal findings are as follows.

- Revenue grew from A$22.9M in FY23 to A$34.9M in FY25 and reached A$38.9M for LTM Dec-25. Growth has been consistent at 23% to 24% a year. Gross margin improved from 76.0% to 79.0%.
- Reported EBITDA for LTM Dec-25 is A$5.2M. Management's adjusted EBITDA is A$6.1M after add-backs of A$0.9M. Adjusted EBITDA is stated before deducting A$4.4M of capitalised development costs. After that deduction the figure is A$1.7M.
- Net operating cash flow was A$5.9M for LTM Dec-25, but investment in capitalised development and equipment of A$5.0M left free cash flow before acquisitions and financing at A$0.9M. Cash at 31 December 2025 was A$2.8M.
- On management's projected ARR of A$41.0M, total debt at close would be 0.73x ARR and 4.9x LTM adjusted EBITDA. Net debt would be A$23.2M. These ratios exclude any contribution from the payroll software tuck-in business.
- At an illustrative all-in rate of 10.10%, annual cash interest on A$30.0M is about A$3.0M. LTM cash flow available for debt service of A$0.9M does not cover it. Servicing relies on continued ARR growth, on moderating discretionary development spend, and on the pro forma cash balance of A$6.8M.
- ARR rose from above A$35.0M in September 2025 to A$39.6M at 31 December 2025. We have not yet verified this movement against a monthly ARR bridge, and we treat ARR verification as the most important open item.

3. Business and key operating metrics

Ledgerline develops and sells subscription cloud accounting software to Australian and New Zealand small and medium enterprises. It also operates a network of accounting and bookkeeping practices that resell the platform. The product covers general ledger, invoicing, bank feeds, GST and BAS lodgement, payroll integration and a practice management module. The company employs 214 full-time equivalent staff, with engineering teams in Sydney and Newcastle and a customer support centre in Wollongong.

The company was founded in Newcastle in August 2014. It launched the full cloud general ledger and the practice reseller programme in March 2017. Halcyon Growth invested A$28.0M in a primary and secondary round in June 2021 and holds two board seats. In November 2023 Ledgerline acquired TallyBridge Pty Ltd for A$11.5M, and the product was integrated by mid 2024.

Metric	Value	Status
ARR at 31 Dec 2025	A$39.6M	Management, unaudited
ARR at 31 Mar 2026	A$41.0M	Management projection
ARR growth, year on year	24.0%	Implies A$33.1M at 31 Mar 2025
Paying business accounts	approx. 9,400	Management projection
Accounting practices	1,150	Management projection
Net revenue retention	108%	Management, trailing 12 months
Gross revenue retention	92%	Management, trailing 12 months
Top 20 practices, share of ARR	approx. 17%	Approx. A$7.0M of ARR
Recurring share of revenue	94%	LTM Dec-25 revenue mix

Table 2: Key operating metrics (management data)

At A$41.0M, ARR averages about A$4,360 per paying account a year. Net revenue retention of 108% indicates that expansion from price increases and additional modules more than offsets churn. Gross revenue retention of 92% means roughly 8% of opening recurring revenue is lost each year, which is a limited buffer if small business failures rise.

4. Income statement

A$M	FY23	FY24	FY25	LTM Dec-25
Revenue	22.9	28.2	34.9	38.9
Cost of revenue	(5.5)	(6.5)	(7.7)	(8.2)
Gross profit	17.4	21.7	27.2	30.7
Operating expenses	(16.5)	(19.6)	(23.3)	(25.5)
Reported EBITDA	0.9	2.1	3.9	5.2
Depreciation and amortisation	(2.6)	(3.3)	(3.8)	(4.1)
EBIT	(1.7)	(1.2)	0.1	1.1
Net finance costs	(0.3)	(0.7)	(0.8)	(0.8)
Profit or (loss) before tax	(2.0)	(1.9)	(0.7)	0.3
Income tax expense	nil	nil	nil	(0.1)
Net profit or (loss) after tax	**(2.0)**	**(1.9)**	**(0.7)**	**0.2**

Table 3: Summary income statement. FY23 to FY25 audited; LTM Dec-25 from management accounts

Revenue growth was 23.1% in FY24 and 23.8% in FY25. Revenue for the half year to 31 December 2025 was A$20.7M, 24.0% above the prior corresponding half of A$16.7M. The TallyBridge acquisition contributed from November 2023, so FY24 growth includes a part-year acquired contribution that management has not separately quantified for us.

Gross margin rose from 76.0% in FY23 to 77.0% in FY24, 78.0% in FY25 and 79.0% for LTM Dec-25. Cost of revenue comprises hosting, customer support, third-party data and bank feed charges, and payment processing costs. Operating expenses fell from 72.1% of revenue in FY23 to 65.6% for LTM Dec-25, which shows operating leverage. Reported EBITDA margin is 13.4% for LTM Dec-25.

Depreciation and amortisation of A$4.1M for LTM Dec-25 comprises amortisation of capitalised development costs of A$2.3M, amortisation of acquired intangibles of A$0.6M, and depreciation of equipment and right-of-use assets of A$1.2M. Statutory profit after tax is only A$0.2M, and the business has been loss-making at the statutory level in each audited year.

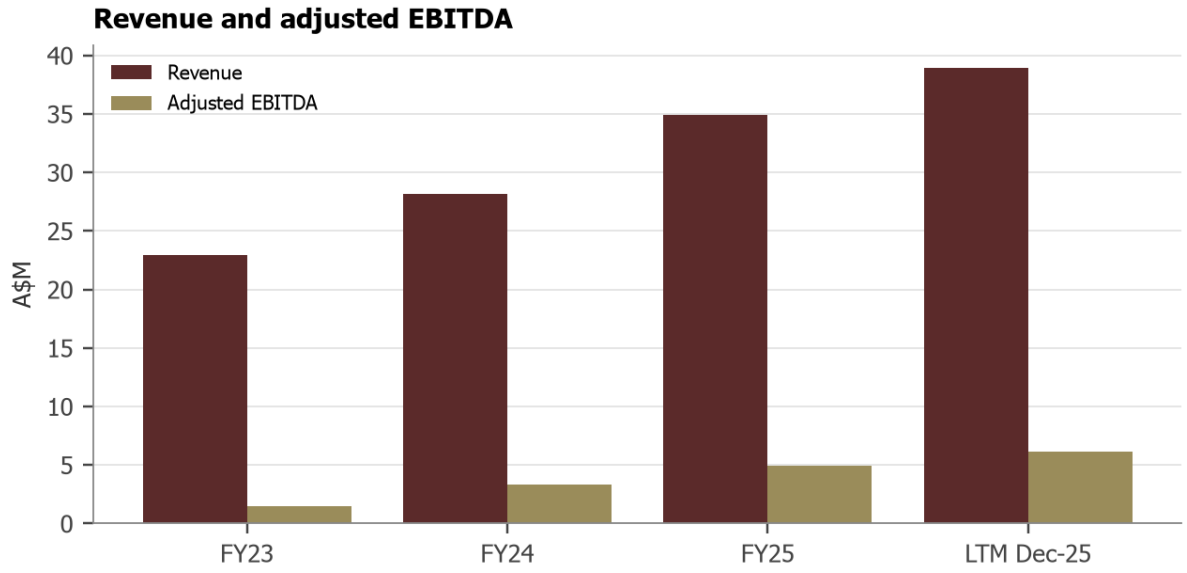


Figure 1: Revenue and management adjusted EBITDA. Adjusted EBITDA is before capitalised development costs

4.1 Revenue composition

LTM Dec-25 revenue	A$M	Share
Subscription revenue	36.6	94%
Implementation and training	1.3	3%
Payment processing fees	1.0	3%
Total revenue	**38.9**	**100%**

Table 4: Revenue by type, LTM Dec-25 (management accounts)

Subscription revenue is recognised over time as the service is provided. Annual plans billed in advance create deferred revenue. Implementation and training revenue is recognised as the services are performed. Payment processing fees are recognised on a net basis as Ledgerline acts as agent. We have not tested the contract-level application of AASB 15 beyond a sample reviewed by Kestrel, and the sample did not identify exceptions.

5. Adjusted EBITDA

A$M	FY24	FY25	LTM Dec-25
Reported EBITDA	2.1	3.9	5.2
Share-based payments	0.3	0.3	0.4
Transaction and advisory costs	0.7	0.4	0.3
Restructuring and other one-off costs	0.2	0.3	0.2
Adjusted EBITDA	**3.3**	**4.9**	**6.1**

Table 5: Reconciliation of reported to adjusted EBITDA (management)

Share-based payments are non-cash and the add-back is conventional, although it represents a real cost of employment. Transaction and advisory costs relate to the TallyBridge acquisition in FY24 and to refinancing and acquisition preparation in FY25 and LTM Dec-25. We agreed these to supplier invoices on a sample basis. The restructuring add-back of A$0.2M for LTM Dec-25 is supported only by a management schedule. If it were excluded, adjusted EBITDA would be A$5.9M and total debt to adjusted EBITDA at close would be 5.1x rather than 4.9x.

The more significant matter for a lender is the treatment of capitalised development. Deducting capitalised development costs from adjusted EBITDA gives A$(0.3)M for FY24, A$0.9M for FY25 and A$1.7M for LTM Dec-25. Gross development expenditure for LTM Dec-25 was A$12.0M, of which A$4.4M or 37% was capitalised. The capitalisation rate is in line with FY25, but we recommend that covenant definitions be set on a basis that makes clear how capitalised development is treated.

6. Balance sheet

A$M	30 Jun 25	31 Dec 25	Pro forma
Cash and cash equivalents	3.9	2.8	6.8
Trade and other receivables	3.1	3.4	3.4
Other current assets	1.8	2.0	2.0
Capitalised development costs	11.6	12.9	12.9
Goodwill and acquired intangibles	10.4	10.1	25.1
Equipment and right-of-use assets	2.7	2.5	2.5
Total assets	33.5	33.7	52.7
Trade and other payables	(4.4)	(3.9)	(3.9)
Deferred revenue	(7.6)	(8.1)	(8.1)
Employee provisions	(2.5)	(2.5)	(2.5)
Lease liabilities	(2.3)	(1.9)	(1.9)
Borrowings	(9.0)	(9.0)	(30.0)
Total liabilities	(25.8)	(25.4)	(46.4)
Net assets	**7.7**	**8.3**	**6.3**

Table 6: Balance sheet. 30 June 2025 audited; 31 December 2025 management; pro forma for financing at close

The pro forma column adjusts the 31 December 2025 balance sheet for the A$30.0M drawing, repayment of the A$9.0M existing bank term debt, payment of A$15.0M for the payroll tuck-in (shown provisionally as goodwill and intangibles pending a purchase price allocation) and A$2.0M of transaction costs. The costs are charged to equity pending allocation between deferred borrowing costs and expense. Borrowings are shown at principal.

Total equity of A$8.3M at 31 December 2025 comprises contributed equity of A$39.4M, a share-based payment reserve of A$1.9M and accumulated losses of A$33.0M. Intangible assets (capitalised development, goodwill and acquired intangibles) total A$23.0M and exceed net assets, so tangible net worth is negative. Credit support therefore rests on the recurring revenue base and enterprise value, not on balance sheet assets.

Deferred revenue of A$8.1M equals about 20% of ARR and reflects customers billed annually in advance. It is a non-cash liability, but it funds working capital and would reverse if billing shifted to monthly terms. Receivables of A$3.4M represent about 32 days of revenue. Net debt before the transaction was A$6.2M (borrowings A$9.0M less cash A$2.8M, excluding leases).

7. Cash flow

A$M	FY24	FY25	LTM Dec-25
Reported EBITDA	2.1	3.9	5.2
Non-cash items and working capital	1.0	1.3	1.6
Interest and tax paid	(0.7)	(0.8)	(0.9)
Net operating cash flow	2.4	4.4	5.9
Capitalised development costs	(3.6)	(4.0)	(4.4)
Equipment purchases	(0.4)	(0.5)	(0.6)
Acquisition of TallyBridge	(11.5)	nil	nil
Net investing cash flow	(15.5)	(4.5)	(5.0)
Free cash flow before acquisitions and financing	(1.6)	(0.1)	0.9
Bank borrowings drawn or (repaid)	9.8	(0.8)	(0.8)
Lease principal repaid	(0.7)	(0.8)	(0.9)
Net change in cash	(4.0)	(1.7)	(0.8)
Closing cash	5.6	3.9	2.8

Table 7: Summary cash flow. FY24 and FY25 audited; LTM Dec-25 from management accounts

Operating cash flow has risen each year and has been supported by growth in deferred revenue. Working capital and non-cash items contributed A$1.6M in LTM Dec-25, of which share-based payments were A$0.4M and working capital inflows A$1.2M. Working capital inflows from billing in advance are sustainable only while the customer base keeps growing.

Free cash flow before acquisitions and financing has been negative or close to nil for two of the three periods and turned modestly positive in LTM Dec-25. The FY24 acquisition of TallyBridge was funded by A$9.8M of bank borrowing and cash on hand from the 2021 equity round. Cash has fallen from A$5.6M at 30 June 2024 to A$2.8M at 31 December 2025. We consider current liquidity thin for a business with 214 staff and an annual operating cost base of about A$34M including cost of revenue.

8. Pro forma capital structure and debt metrics

The facility is a A$35.0M senior secured recurring-revenue term loan over 48 months, with A$30.0M available at financial close and A$5.0M as a delayed-draw tranche for permitted acquisitions within 18 months. Indicative pricing is 3-month BBSW plus 6.25% p.a. cash margin, a 2.00% establishment fee and a 1.00% p.a. commitment fee on undrawn amounts. The loan is interest only, with a 1.0% p.a. cash sweep from month 25. Proposed covenants cover minimum ARR, maximum debt to ARR and minimum liquidity.

Sources and uses at close	A$M	Share
Source: term loan drawn at close	30.0	100%
Use: refinance existing bank term debt	9.0	30%
Use: payroll tuck-in consideration	15.0	50%
Use: transaction costs	2.0	7%
Use: cash to balance sheet	4.0	13%
Total uses	**30.0**	**100%**

Table 8: Sources and uses (tuck-in consideration is a management estimate, subject to contract)

Transaction costs of A$2.0M comprise the establishment fee of A$0.7M (2.00% of A$35.0M) and A$1.3M of arranger, legal, due diligence and valuation costs. Cash to balance sheet of A$4.0M added to the 31 December

2025 balance of A$2.8M gives pro forma cash of A$6.8M. Growth capital for product development and sales capacity is expected to be funded from this cash and from operating cash flow.

Metric	Result	Basis
Total debt drawn at close	A$30.0M	Facility limit A$35.0M
Total debt to ARR	0.73x	A$30.0M / A$41.0M
Facility limit to ARR	0.85x	A$35.0M / A$41.0M
Net debt to ARR	0.57x	A$23.2M / A$41.0M
Total debt to adjusted EBITDA	4.9x	LTM adjusted EBITDA A$6.1M
Net debt to adjusted EBITDA	3.8x	Pro forma net debt A$23.2M
Total debt to EBITDA after capitalised development	17.6x	A$30.0M / A$1.7M
Adjusted EBITDA to cash interest	2.0x	A$6.1M / A$3.1M
Facility limit to enterprise value	21.3%	EV A$164.0M, 4.0x ARR

Table 9: Pro forma debt metrics

Pro forma net debt of A$23.2M is the A$30.0M drawing less cash of A$6.8M. The enterprise value of A$164.0M is 4.0x ARR and is the figure in the information memorandum. It is subject to independent valuation by Marlow Quay Valuation Advisory Pty Ltd, whose report we have not seen. Loan to value on the facility limit is 21.3% (A$35.0M / A$164.0M). Ratios are calculated on Ledgerline's existing ARR and earnings only, because no financial information on the payroll business has been provided to us. Its ARR and earnings would improve the ratios if acquired as planned.

9. Debt service capacity

Illustrative annual run-rate, A$M	LTM basis	Comment
Operating cash flow before interest and tax	6.8	Table 7 plus interest and tax
Capitalised development and equipment	(5.0)	Partly discretionary
Lease principal	(0.9)	Contractual
Cash flow available for debt service	0.9	Before new facility costs
Cash interest at 10.10%	(3.0)	3.85% BBSW plus 6.25%
Commitment fee on A$5.0M undrawn	(0.1)	1.00% p.a.
Surplus or (shortfall)	**(2.2)**	**Funded from cash**

Table 10: Illustrative debt service at LTM run-rate. The BBSW rate of 3.85% is our assumption for illustration only

At the LTM run-rate, cash flow available for debt service would not cover cash interest. The interest bill rises by about A$2.2M against the existing A$0.8M of finance costs. Pro forma cash of A$6.8M would absorb this shortfall for a little over three years if nothing else changed. A further 1.0% p.a. cash sweep of about A$0.3M a year applies from month 25.

Coverage improves if ARR growth continues at about 24% and operating leverage persists, if capitalised development is moderated, and if the tuck-in delivers the forecast cost synergies. These are management plans, and we have not reviewed a forecast model in sufficient detail to express a view on them. The minimum liquidity covenant will be the practical constraint in the early years, and we suggest it is set with reference to a monthly cash flow forecast that includes the shortfall above.

10. Key findings and risk observations

- ARR verification: ARR is unaudited. The increase from above A$35.0M in September 2025 to A$39.6M at 31 December 2025 is large. Management cites price increases and uptake of the new practice management and bank reconciliation modules, but this is not yet supported by a monthly bridge. Annual contract treatment and the timing of recognising price increases need to be confirmed.
- Customer concentration: the top 20 practices contribute about 17% of ARR, or about A$7.0M. The loss of a few large practices would reduce ARR and could affect the minimum ARR covenant.
- Retention: gross revenue retention of 92% gives little buffer if small business insolvencies rise. Net revenue retention of 108% depends on continued price and module expansion.
- Capitalised development: A$12.9M of capitalised development is carried on the balance sheet. An impairment or a change in capitalisation practice would reduce reported earnings and equity without affecting cash.
- Competition: larger incumbent accounting platforms have greater scale and ecosystem reach and may pressure pricing, new customer acquisition and retention.
- Third-party dependencies: bank feeds and the ATO lodgement gateway are provided by third parties. Interruption would affect product performance.
- Acquisition integration: the payroll tuck-in involves product migration and retention of key staff. Forecast synergies are not yet evidenced.
- Refinancing risk: the loan is interest only, so repayment at maturity depends on continued ARR growth, sponsor support or a sale or recapitalisation.

11. Notes to the summary

Note 1: Basis of preparation

The audited statements are general purpose financial statements prepared under Australian Accounting Standards. Management accounts use the same policies, but they are not subject to year-end adjustments and audit procedures.

Note 2: Capitalised development costs

Development costs are capitalised under AASB 138 once technical feasibility, intention and ability to complete and use the product, and probable future economic benefit are demonstrated, and are amortised over expected useful lives. The balance rose from A$11.6M at 30 June 2025 to A$12.9M at 31 December 2025, after capitalisation of A$2.4M and amortisation of A$1.1M in the half year. Costs of maintenance and research are expensed. We tested a sample of capitalised time records against project approvals and found no exceptions, but we have not assessed technical feasibility.

Note 3: Contract costs

Incremental costs of obtaining customer contracts, mainly commissions paid to practices, are capitalised and amortised over the expected customer life and are included in other current assets. The capitalisation period should be tested against observed churn.

Note 4: Business combination

The TallyBridge acquisition for A$11.5M was accounted for under AASB 3. The resulting goodwill and acquired intangibles are carried at A$10.1M at 31 December 2025 after amortisation of the identifiable intangibles. The product was integrated into the platform by mid 2024.

Note 5: Borrowings

Existing bank term debt of A$9.0M is secured and will be repaid from the proceeds at close. The new facility is a senior secured recurring-revenue term loan and is the subject of a separate security review by Tolland Reeve Lawyers.

Note 6: Taxation

Ledgerline has carried-forward tax losses that are not recognised as a deferred tax asset. Management estimates them at about A$13.5M. Their use depends on continuity of ownership or the same business test, and the sponsor's ownership structure and the acquisition should be considered. Cash tax paid in LTM Dec-25 was A$0.1M.

Note 7: Related parties and subsequent events

No related party balances were disclosed to us beyond director and key management personnel remuneration. We will seek written confirmation as part of management representations. The payroll tuck-in is under negotiation and has not completed. We are not aware of other events after 31 December 2025 that would materially alter the financial position.

12. Open items and limitations

- Monthly ARR bridge from 30 June 2025 to 31 December 2025, with a reconciliation of ARR to subscription revenue.
- Historical financial information and draft sale agreement for the payroll tuck-in business.
- Contract-level test of annual billing and price-increase treatment.
- Management representation letter, including related party and contingent liability confirmations.
- Updated cash flow forecast reflecting the new facility, covenants and cash sweep.
- Review of the Marlow Quay valuation, once issued, against the A$164.0M enterprise value used in this report.

This report was prepared for Quillwood Credit Partners for the purpose of assessing the proposed facility and may not be relied on by any other party. It is based on information provided by Ledgerline, Halcyon Growth, Brennan Hartley & Co, Kestrel Assurance Partners and Corvane Capital Advisory Pty Ltd. We have not independently verified information beyond the procedures described, and we have not audited or reviewed forecasts. Findings may change as open items are closed.

Sign-off

Prepared by	Thornbury Accounting Advisory
Engagement lead	Helena Voss, Partner
Reviewer	Gareth Linden, Director, Quality Review
Date issued	20 February 2026
Status	Version 1.0, final for lender distribution

Table 11: Report sign-off